EXECUTIVE SUMMARY

A. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo", along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery- making, supplying particularly the whole province.

Iguig is a fourth class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The Municipality's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well known tourist destination where every Iguigueños can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for CY 2019 and was aimed at determining whether Management presented fairly the financial statements of the Municipality, in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Iguig for the year ended December 31, 2019, with comparative figures for CY 2018, are as follows:

Accounts	2019	2018	Increase/ (Decrease)
Assets	223,942,121.14	237,742,524.46	(13,800,403.32)
Liabilities	99,057,280.03	112,134,825.91	(13,077,545.88)
Government Equity	124,884,841.11	125,607,698.55	(722,857.44)
Income	115,227,409.44	102,806,153.60	12,421,255.84
Expenses	107,096,043.41	89,203,848.76	17,892,194.65
Appropriation	175,048,063.32	111,275,080.47	63,772,982.85
Obligations	169,038,458.20	95,151,519.98	73,886,938.22

The funds received by the Municipality and transferred to other agencies and non-government and people's organizations for CY 2019, with comparative figures for CY 2018, are shown below:

Fund Transferred to Other Agencies	2019	2018	Increase/ (Decrease)
Local Gov't Units	0.00	0.00	**0.00**

Fund Transferred from Other Agencies	2019	2018	Increase/ (Decrease)
Nat'l Gov't Offices	11,482,819.04	33,248,397.13	(21,765,578.09)
Local Gov't Units	0.00	3,720,000.00	(3,720,000.00)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Iguig as of December 31, 2019 due to the following:

a. The year-end Cash in Bank, Local Currency Savings account for all funds appearing in the financial statements amounting to P19,575,611.49 is different from the year- end adjusted total bank balances of P15,403,583.99 appearing in the bank reconciliation statements, which is not accord with Items 3.1 to 3.3 of COA Circular No. 96-011 dated October 2, 1996.

b. The Property, Plant and Equipment totaling P160,172,215.36 could not be relied upon due to the failure of the Municipality to conduct physical inventory on all its properties and the non-submission of Report on the Physical Count of Property, Plant and Equipment thereon pursuant to Section 156 of COA Circular 92-386 dated October 20, 1992

D. Summary of Significant Observations and Recommendations

The following are the audit team's significant audit observations and recommendations:

1. Financial Assistance in the total amount of P316,760.00 were granted to Officials and Employees of different National Government Agencies and were taken up in the books as Donations or Other MOE, instead of taking-up the receivable account, thus utilization cannot be monitored and evaluated.

   We recommended that the Management take up the grants as Other Receivables subject to liquidation, as a control in the grant of financial assistance, and for easy monitoring and evaluation of their utilization.

2. Funds transferred from other Government Agencies for the implementation of different projects remained unliquidated at year-end, which is not in accord with COA Circular 94-013, thus affecting the reliability of the inter-agency accounts involved and the timeliness of reporting.

   We recommended that the Municipal Mayor cause the implementation and the liquidation of the funds transferred, if Municipal records show that the same were already liquidated, instruct the Municipal Accountant to coordinate with their counterparts in the Source Agencies and reconcile the balances.

3. The Municipality did not undertake the general revision of real property assessment required by the Local Government Code, thus, the Schedule of Market Values used for Real Property Tax (RPT) purposes are outdated and negatively affects the RPT revenue.

   We recommended that the Local Chief Executive cause the revision of the real property assessment to update Schedule of Market Values and reflect the prevailing market prices of properties used for the computation Real Property Tax for the improvement of revenue collection from such source.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2019:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	**10,000,000.00**	**0.00**	**0.00**	**10,000,000.00**	**0%**
Disallowances	**3,236,525.00**	**0.00**	**0.00**	**3,236,525.00**	**0%**
Charges	**0.00**	**0.00**	**0.00**	**0.00**	**0%**

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the 28 audit recommendations embodied in the CY 2018 Annual Audit Report, 20 were fully implemented, four (4) were partially implemented and four (4) were not implemented.